

LIQUIDATION OF A COMPANY

Remember that a company cannot be declared bankrupt. Liquidation is a process of winding up a company as a result of inability to pay its debts as and when due. Under section 409(a) of CAMA (Companies and Allied Matters Act) 1990, such debts must be in excess of N2, 000 outstanding three weeks after being notified by the creditors.

MODES OF WINDING UP

Under section 401(1) of CAMA, 1990, winding up of a company may be effected:

- By the court, or
- Voluntarily, or
- Subject to the supervision of the court.

COMPULSORY WINDING UP (i.e WINDING UP BY THE COURT)

Under section 408 of CAMA 1990, a company may be wound up compulsorily:

- If a company fails to start operations 6 months after the issue of certificate of incorporation
- If a company carries on business with less than the number of statutory members
- If a company fails to hold statutory meeting as specified by the Act.
- If a company fails to pay its debts
- If the court deems fit that the company be wound up

VOLUNTARY WINDING UP

A company may be wound up voluntarily if:

- There is expiration of the object for which the company was incorporated.
- There is a special resolution by the Board that the company be wound up voluntarily.
- There is a petition by the creditors to the court that the company should be wound up voluntarily.

PETITION FOR WINDING UP OF A COMPANY

Under section 410(1) of CAMA 1990, an application to the court for the winding up of a company may be made either by:

- The company
- A creditor, including a contingent or prospective creditors of the company
- A contributory
- The Corporate Affairs Commission
- A trustee in bankruptcy to, or a personal representative of a creditor or contributory.
- By all or any of those parties together or separately.
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POWERS OF A LIQUIDATOR

Under section 425(2), the liquidator in winding up by the court shall have the powers to:

- Sell the property of the company
- Execute all deeds, receipts and other documents and when necessary use the company's seal.
- Prove, rank and claim in the bankruptcy, insolvency or sequestration of any contributory, and to receive dividends in the bankruptcy, insolvency or sequestration on behalf of the creditors.
- Draw, accept, make and endorse any bill of exchange or promissory note in the name and on behalf of the company.
- Raise on the security of the assets of the company any money requisite.
- Take out in his official name, letter of administration to the deceased contributor, and any acts necessary for obtaining payment of any money due from the contributor.
- Appoint an agent to do any business that the liquidator is unable to do himself.
- Do all such other things, as may be necessary for winding up, the affairs of the company and distributing its assets.

STATEMENT OF AFFAIRS (COMPANY)

This is prepared by the Directors or Secretary of the company and submitted to the liquidator or the official receiver within 14 days of the winding up order.

The assets are arranged as:

- Assets not specifically pledged (i.e assets not used as security)
- Assets specifically pledged (assets used as security)

The liabilities are arranged in the following order:

- Secured creditors
- Preferential creditors
- Debenture holders
- Unsecured creditors
- Shareholders.

LIQUIDATOR'S ACCOUNT

The liquidator is expected to keep the following accounts:

- a statement of receipts and payments (cash book);
- a trading account, where he carries on business of the company;
- a record of the proceedings at the meetings.

RETURN TO CONTRIBUTORIES (SHAREHOLDERS)

- Where there are different classes of shareholders, it is necessary to ascertain the right of each class under the memorandum and articles of association.
- If the articles of association give the preference shareholder the right to priority as to repayment of capital, then their capital should be paid off first. They would not be entitled to any surplus as this belongs to ordinary shareholders.
- Where there no express provision in the articles, which give a right to priority of return capital to the preference shareholders, they will have to rank pari-pasu with the ordinary shareholders for repayment of capital and any surplus.
- The returns to the shareholders will be considered in two situations; viz:
 1. When there is surplus
 2. when there is deficiency.

WHEN THERE IS SURPLUS

When the assets can repay the liabilities of the company with surplus, the liquidator may make calls on all or any of the shareholders up to the extent of their liability for the unpaid amount. The order of the repayments to the shareholders will be given and the manner by which the surplus will be distributed. This has to be followed accordingly.

WHEN THERE IS DEFICIENCY

When there is deficiency, and there is unpaid calls (call in arrears), the liquidator needs not call up the whole unpaid capital if this will involved a part repayment of the call to the shareholders. It is only the amount that is sufficient to discharge the liabilities of the company that will be called up by the liquidator. Simply follow these rules and you are through:

- If the amount paid up per share is greater than the deficiency per nominal value per share, no call will be made but the difference will be repaid to the contributory.
- If the amount paid up per share is less than the deficiency per nominal value per share, the difference will be the amount to be called up by the contributory.

To calculate the deficiency per nominal value per share, you can follow these steps:

Step I:

CALCULATE THE TOTAL DEFICIENCY IF IT HAS NOT BEEN CALCULATED. I.E

	N
Preference share capital per balance sheet	xx
Ordinary Share Capital per balance sheet	xx
Other creditors not yet paid (if any)	xx
	xxx

Step II:

CALCULATE THE FULLY PAID UP CAPITAL

	N
Preference shares x Nominal value per share (if no priority is given)	xx
Ordinary shares x Nominal value per share	xx
	xxx

Step III:

CALCULATE THE DEFICIENCY PER FULLY PAID UP CAPITAL I.E

<u>Total deficiency</u>
Fully paid up capital

Step IV:

CALCULATE THE DEFICIENCY PER NOMINAL VALUE PER SHARE i.e

<u>Total deficiency</u> x Nominal value per share
Fully paid up capital

CALLS IN ADVANCE

Calls in advance should be first applied towards any call receivable from the contributories. Where a return to shareholders is envisaged, the calls in advance should be paid before returning the amount, which is common to all the shareholders.

ARREARS OF PREFERENCE SHARES

Where there is no express provision in the articles of association as to how the arrears of preference dividend should be treated, the preference shareholders have no right to the arrears unless they were declared before the commencement of the liquidation. If dividend was declared before commencement, the arrears should be accrued to date of the commencement.

ILLUSTRATION 1(BANKRUPTCY OF AN INDIVIDUAL)

DAWODU Commenced business on 1st January, 1995 with a capital of N336, 000. His profits for the years 1995 to 1999 were N40, 000; N32,000; N18,000; N14,000 and N4,000 respectively and his drawings averaged N22,000 per annum.

On 31st December 1999 a receiving order was made against him when his affairs were as follows:

	N
Unsecured creditors	200,000
Mortgage on freehold Property	40,000
Creditors partly secured (security: life policy estimated to realize N40, 000)	120,000
Creditors for salaries and wages	4,800
Bill receivable discounted and expected to realize	32,000
Plant and Machinery (cost N80, 000), estimated to realize	20,000
Freehold factory (cost N400, 000), estimated to realize	200,000
Book debts: Good	60,000
Doubtful (N20,000), to realise	6,000
Bad	50,000
Fixtures and fittings (Cost N8, 000) estimated to realize	3,500
Stocks (Cost N80, 000) estimated to realize	55,500
Cash in hand	800

From the above particulars, prepare a Statement of affairs and a deficiency account in a statutory form.